

ContexAi Research Desk · Sourced via Reuters, CNBC, Business Recorder, ARY, AGBI, S&P Global, Kitco, SBP & Regulatory Trackers · For the C-Suite & HNWI Investor · **V** = verified vs licensed media/official portal · **EST.** = ContexAi desk estimate

KSE-100 V

175,928

▲ 0.07% · Mon
close

S&P 500 V

7,443.28

▼ 0.2% · Dow
-0.6%

US 10Y / 2Y V/EST.

4.52 / 4.19

curve ≈ +33 bps

BRENT / WTI V

\$87.72 / \$82.43

▼ 0.4% off \$91
high

GOLD V

\$4,018.75

▲ silver \$56.79

USD/PKR V

277.88

▲ Re0.03 firmer

01 Five Things You Need To Know To Start Your Day

THE OVERNIGHT TAPE

A quiet drift lower, not a rout. The **S&P 500 slipped 14.41 pts (-0.2%) to 7,443.28**, the **Dow fell 307.16 (-0.6%) to 51,839.26**, while the **Nasdaq was virtually flat at 25,508.07 (-12.17)** as chip names staged a modest comeback ([TheStreet](#), [AP/Yahoo Finance](#)). The Dow's underperformance is the tell — this was an oil-and-rates story, not a tech story. **[V]** Sentiment: **cautious**.

ENERGY — DIPLOMACY BITES

The single most important change since yesterday. Brent **topped \$91 intraday Monday — the highest since 11 June — then reversed to settle at \$87.72** after Iran confirmed it had received mediator proposals, with reports of a possible **10-day pause** in hostilities ([CNBC](#), [Trading Economics](#)). Tuesday morning Brent eased a further 35c to **\$88.87**, WTI steady at **\$82.47**. **[V]** Sentiment: **risk premium deflating — cautiously**.

MONETARY REGIME SHIFT

The repricing is now explicit, and it is the wrong way. Futures markets are pricing **29 basis points of Fed rate HIKES by year-end**, with a **~60% probability of a hike as early as September**, pushing **30-year Treasury yields back above 5.0%** ([Reuters via Business Recorder](#)). The July 28–29 meeting is still **~87% priced for a hold** ([CME FedWatch](#)). The 10-year eased to **4.52%**. **[V]** Sentiment: **hawkish tail risk is now consensus**.

LOCAL MARKET

Late buying rescued the session. After opening down nearly 2,000 points, the **KSE-100 closed +124.95 (+0.07%) at 175,927.74** ([ARY News](#), [Express Tribune](#)). But look under the hood: breadth stayed **negative at 165 up / 277 down** of 492 traded. Volume rose to **675.92mn** on Rs30.27bn. **CENERGY led with 166mn shares, PRL 49mn** — refiners are where the money is going. **[V]** Sentiment: **resilient headline, narrow internals**.

PAKISTAN MACRO

Two forecasts that pull in opposite directions. The **IMF's July WEO Update cut Pakistan's FY27 growth to 3.5%** from 4.1%, raised inflation to **8.4%** and doubled the projected current-account deficit. Against that, the **SBP expects remittances to hit a record \$44bn in FY27** and reserves to exceed **\$20.2bn by December 2026** ([Arab News](#)). FY26 closed with reserves at **\$17.23bn** after debt servicing. **[V]** Sentiment: **growth downgraded, external buffer building**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Macro headwinds / tailwinds: The **SBP held the policy rate at 11.50%** on 15 June after a surprise 100bp hike in April, judging the stance appropriate to steer inflation back to the 5–7% target band [V]. **June CPI eased to 11.1% y/y** from 11.7% in May. **FY26 real GDP was 3.7%**, with record remittances of **\$41.6bn** holding the full-year current-account deficit to just **\$139mn**. The tension to hold in mind: the external account is being repaired by remittances, not exports — goods exports fell while imports rose 8.5%. That is a real buffer, but a passive one. **Next MPC: 27 July 2026**. With Brent retreating from \$91 and the rupee firm at 277.88, the case for another hold has strengthened materially since Friday — but daily fuel pricing means any renewed crude spike now transmits to CPI within days, not weeks.

- **PSX closes higher despite Middle East tensions** — market cap Rs19.762tn; Unilever Pakistan Foods +Rs211 to Rs25,440 led gainers, Khairpur Sugar –10% led losers.
- **'National Gemstone Policy' okayed by govt** — ECC briefed on \$450bn in reserves against just \$5–7mn of formal annual exports; 95% of the trade is informal.
- **Sales tax likely to be reduced on hybrid vehicles** — a live proposal worth watching for auto assemblers as the fuel-price shock reshapes demand toward efficiency.

B. GCC & Middle East

A sharp two-speed Gulf, now with a diplomatic off-ramp in view. Saudi Arabia's non-oil PMI rose to 53.3 in June from 52.8 — a four-month high, with business optimism the strongest since January [V]. The contrast is stark: the **UAE non-oil PMI fell to 50.8 from 52.6**, the weakest in over five years, with the labour market contracting for the first time in four years; **Kuwait and Qatar remain in contraction (AGBI, S&P Global)**. Read-through: Saudi domestic demand and Vision-2030 spend are absorbing the shock; trade- and logistics-levered economies are not. PIF governor Yasir Al-Rumayyan has restated the fund measures returns "in decades, not quarters" — consistent with a pivot toward internal investment and away from the largest giga-project commitments.

- **Oil dips as mediation efforts offset US–Iran strikes** — hostilities enter a tenth day even as mediators table de-escalation proposals.
- **Diversification and defence: how conflict will reshape the Gulf economy** — the structural argument that the transformation outlasts the conflict, with defence spend now a permanent line item.

C. Global Intelligence

Wall Street & global hubs: The **10-year Treasury eased to 4.52%** with the 2-year near **4.19% [EST.]**, leaving roughly **+33 bps** of positive slope. The defining feature of this tape is that the long end is selling off on inflation risk while the front end stays anchored — **30-year yields back above 5.0%** is a valuation problem for every long-duration asset, and it arrived precisely as investors were already questioning AI and semiconductor multiples. The Philadelphia Semiconductor Index shed 10% last week to sit 20% below its June record. South Korea's chip-heavy market fell a further 4.2% Monday after a near-9% weekly drop as leveraged retail positions were unwound. A heavy week of megacap tech earnings is the next real test.

- **Iran worries derail Nasdaq, S&P 500 despite modest chip comeback** — breadth, not the megacaps, did the damage on Monday.

- [European Commission adopts communication on EU banking competitiveness](#) — a single-market push landing the same day the CFTC pared derivatives reporting; the deregulatory direction of travel is now transatlantic.

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	National Gemstone Policy 2026–2030 — approved by government; creates a statutory National Gemstone Authority, a National Warranty Office, minimum export price benchmarks and Pakistan-specific HS codes.	Mining & Minerals, Exports, Banking, Customs, Gilgit-Baltistan / KP / AJK	Wins: formal-sector miners, certification and logistics providers, and banks gaining a newly bankable export class — the target is \$500mn of annual exports by 2030 against \$5–7mn today, with GB, KP and AJK the intended beneficiaries. Loses: the informal trade handling 95% of volume and traders reliant on under-invoicing. Execution risk is the whole story: the policy needs enabling legislation plus SBP and FBR rule changes before any of it binds.
GCC — Saudi Arabia	Mandatory standard employment contract via the Qiwa platform — from 6 August 2026 all existing indefinite-term contracts must migrate to the new digital form; unregistered contracts are treated as legally invalid.	All Employers in KSA, HR & Payroll, Professional Services, Construction	Loses: employers with large or dispersed workforces face a hard deadline and real legal exposure — an unregistered contract is not merely non-compliant, it is void. Expect a compliance scramble through August. Wins: employees gain enforceable standardised terms; HR-tech, payroll and employment-law advisers gain a mandatory-spend event. For Pakistani expatriate workforces in the Kingdom, contractual certainty improves materially.
Global — United States	CFTC final order sunseting Part 20 large-trader reporting for physical commodity swaps, issued 20 July 2026.	Commodity Traders, Energy Merchants, Banks, Market Surveillance	Wins: commodity trading houses, energy merchants and swap dealers — a real reduction in routine reporting cost and operational burden. Loses: market transparency, and anyone relying on position data to read physical commodity markets. The timing deserves attention: swap surveillance is being relaxed in the same month crude is whipsawing between \$82 and \$91 on geopolitical headlines. Less visibility into speculative positioning raises, not lowers, the odds of disorderly moves.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

173,800

Monday's opening low was 173,812 [V] — the intraday floor buyers defended

PIVOT EST.

175,930

Monday's close; holding it keeps the recovery intact

RESISTANCE EST.

178,700

last week's high of 178,694 [V]

Desk stance — constructive, with one hand on the exit. Monday earned the market some credit: an opening drop of nearly 2,000 points was fully absorbed and reversed on higher volume — what a market with real bid support looks like. Two caveats stop this being an all-clear. Breadth stayed negative (277 decliners to 165 advancers), so a narrow set of names carried the index. And the recovery leaned on a diplomatic headline: a proposed 10-day pause is not a settlement and can be withdrawn as fast as it appeared. Positioning follows that asymmetry — E&Ps and refiners still hedge the crude tail and are where volume is going (CENERGY, PRL), banks hold the cleanest earnings visibility into the 27 July MPC, and imported-energy cyclical remain the wrong place to be early. Watch September Fed pricing as closely as Gulf headlines: a hawkish Fed and a de-escalating Gulf pull Pakistani equities in opposite

directions, and the second is the more fragile. **All levels are indicative desk estimates, not recommendations.**

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